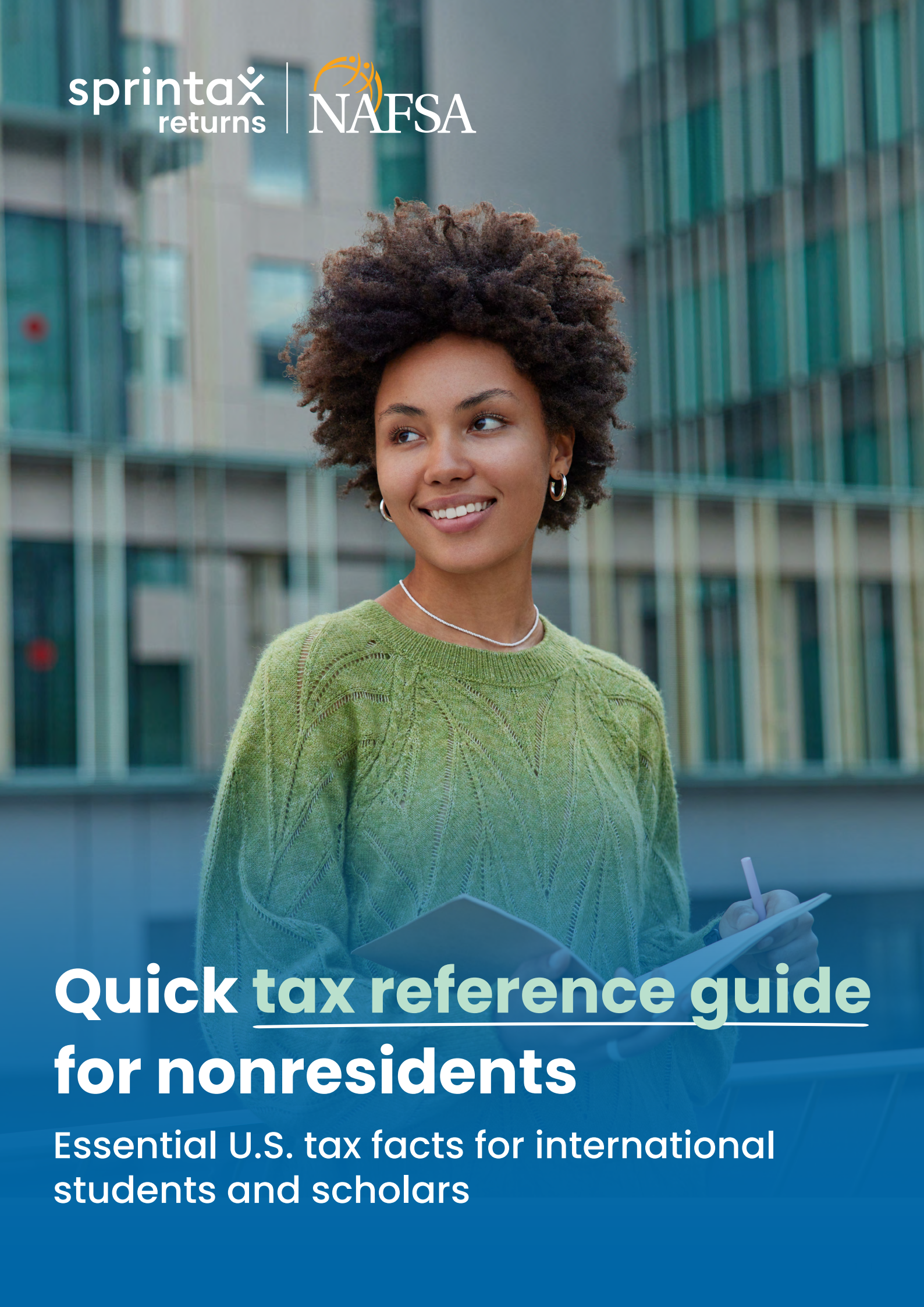


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returns

NAFSA



Quick tax reference guide for nonresidents

Essential U.S. tax facts for international
students and scholars

Nonresident tax at a glance

Important notes on F, J, M and Q visas

- Students on F, M, and Q visas are generally considered “Exempt Individuals” for the purpose of the Substantial Presence Test (SPT) for the first five calendar years of their presence in the U.S.
- Non-student J visa holders, such as teachers or researchers, are exempt from the SPT for a more limited period: only two out of the last six calendar years.
- Many nonresidents (including F-1, J-1, M-1 and Q-1 visa holders) are exempt from paying Social Security and Medicare (FICA) taxes on their wages. However, individuals on dependent visas – such as F-2 or J-2 are not exempt. If you are unsure whether you are required to pay this tax, Sprintax can help you to correctly determine your tax obligations.
- All nonresident aliens on F, J, M, or Q visas must file Form 8843 each year they are in the U.S. to document their “exempt individual” days for the Substantial Presence Test. This form must be filed even if the individual has not earned any income. Where a nonresident earns income in the U.S. they must file a federal tax return – Form 1040-NR, and they may also trigger a state filing requirement depending on their circumstances.
- State tax law varies greatly across the U.S. – be aware of local rules as you may also be required to file a state tax return!



Important tax forms every nonresident should know



Form 1040-NR – This is the primary U.S. tax return for nonresidents. It is used to report U.S.-source income, claim tax treaty benefits, and calculate any refund or tax liability due.



Form W-8BEN – This form certifies nonresident tax status and may be used to claim certain tax treaty exemptions (for example, on scholarships, stipends, or grants).



Form 8233 – Nonresidents can utilize Form 8233 to claim treaty exemptions on personal services income.



Form 8843 – Must be filed by all F, J, M, or Q visa holders (and their dependents) to record days exempt from the Substantial Presence Test, even if no U.S. income was earned.



Form W-9: This document certifies U.S. tax residency; may be used to claim certain treaty exemptions.

Reporting your income

Every year, nonresidents who have earned an income in the U.S. will receive a W-2 form from their employer – outlining wage and salary information. You will need this document when filing a tax return.

Meanwhile, any treaty-exempt income – including wages, scholarships, or stipends – will be reported on a **Form 1042-S**.

Nonresident taxpayers cannot:

- File jointly, except in cases where their spouse is a U.S. tax resident.
- Claim child tax credits, with limited exceptions for residents of Canada, Mexico, and South Korea, as well as student visa holders from India.
- Claim the standard deduction, except for student visa holders from India under the U.S.–India tax treaty.

// I think FICA has been withheld from my income in error and reported on my W-2. What should I do?

If FICA taxes were withheld from your income in error, your first step is to ask your employer for a refund and a corrected Form W-2C.

If your employer is unable to correct the error, you may be able to request a refund by filing Forms 843 and 8316, if applicable.

I filed as a resident by mistake. What should I do?

If you filed a resident tax return (Form 1040) in error, it's important to amend your return as soon as possible by filing Form 1040-NR along with Form 1040-X.

If you owe any taxes to the IRS, be sure to pay them promptly. You should also consider whether any state tax returns need to be amended.

If you do not file correctly, you risk incurring fines or penalties from the IRS.

Without a clean tax record, you also risk complications when applying for US visas in future.



Update: The One Big Beautiful Bill Act (OBBA) – Key impacts for international individuals (2025):

- ✕ The standard deduction has been made permanent, which is relevant for Indian students and other tax residents eligible under a U.S. tax treaty.
- ✕ A new 1% excise tax applies to remittances sent abroad by cash, cashier's check, or money order, which may affect students and scholars sending funds home.
- ✕ Tip income up to \$25,000 and overtime pay up to \$12,500 are now non-taxable.
- ✕ The SALT deduction has been increased to \$40,000 for 2025.
- ✕ Above-the-line charitable deductions have been reinstated permanently for non-itemizing filers (\$1,000 for single filers and \$2,000 for married filing jointly).

Tax season checklist

Tax deadline:

- ✓ File your federal nonresident tax return (**Form 1040-NR**) and any applicable state returns by **April 15**.

What to have on hand:

- ✓ **Forms:** W-2, 1042-S and any other relevant tax or income documents.
- ✓ **Passport and visa information:** including your dates of entry to and exit from the U.S. as well as your visa type

Identification:

- ✓ **Social Security Number (SSN)** or Individual Taxpayer Identification Number (ITIN)

Resources:

- **IRS Pub. 515** – Tax withholding regarding nonresident taxpayers
- **IRS Pub. 519** – Tax Topics regarding all visa holders
- **IRS Pub. 901** – Tax treaty information
- **Sprintax Blog** – Expert educational insights and updates on nonresident tax topics



- ✓ **Bank account information** for direct deposit of any refund

Other tips:

- ✓ Keep a copy of your filed return for your records.
- ✓ If you had FICA withheld in error, follow the steps listed in this guide to request a refund.
- ✓ Need a hand with your taxes? Consider using a tax preparation service like **Sprintax** for guidance.



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